Write your name here Surname Other names ☐☐☐☐☐☐☐☐☐☐☐☐ Centre Number Candidate Number ☐☐☐☐☐☐ ☐☐☐☐☐☐	**Pearson Edexcel** **Level 3 GCE**

Economics A

Advanced

Paper 2: The National and Global Economy

Predicted Paper — Hard (for revision purposes only)

Predicted Paper — For revision purposes only **Time: 2 hours** You do not need any other materials.	Paper Reference **9EC0/02** Total Marks 100

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are three sections in this question paper. Answer ALL questions from Section A and Section B. Answer ONE question from Section C.
- Answer the questions in the spaces provided — there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☐. If you change your mind about an answer, put a line through the box ☐ and then mark your new answer with a cross ☐.

You are advised to spend 30 minutes on this section.

Use the data to support your answers where relevant. You may annotate and include diagrams in your answers.

1 The table below shows estimates of the UK Phillips curve relationship across three sub-periods.

Period	Average unemployment (%)	Average inflation (%)	Estimated NAIRU (%)
1999–2007	5.1	1.7	5.3
2010–2019	5.8	2.1	4.6
2021–2024	4.0	5.4	4.3

Source: adapted from https://www.ons.gov.uk/economy/inflationandpriceindices and https://obr.uk

(a) Which one of the following best describes the macroeconomic situation in Turkey in 2022, when CPI inflation reached 72.3%? **(1)**

☐ **A** Demand-pull inflation only

☐ **B** Cost-push inflation only

☐ **C** Stagflation

☐ **D** Disinflation

(b) Explain the likely effects on the Turkish economy of the depreciation of the lira against the US dollar between 2021 and 2024. **(4)**

(Total for Question 1 = 5 marks)

2 Following a global energy-price shock in 2022, the UK experienced a persistent negative output gap. The Office for Budget Responsibility (OBR) estimated the gap at −1.6% of potential GDP in 2023.

Source: adapted from https://obr.uk/efo/economic-and-fiscal-outlook-2024

(a) Using AD/AS analysis, explain one reason why an economy may fail to return to potential output without policy intervention. **(2)**

(b) Explain one reason why the size of the negative output gap may be difficult to estimate accurately in real time. **(2)**

(c) A supply-side shock that raises the long-run aggregate supply curve is most likely to: **(1)**

☐ **A** raise equilibrium output and lower the price level

☐ **B** raise equilibrium output and raise the price level

☐ **C** lower equilibrium output and lower the price level

☐ **D** lower equilibrium output and raise the price level

(Total for Question 2 = 5 marks)

3 The UK economy's marginal propensity to consume (MPC) out of disposable income is estimated at 0.65 for low-income households and 0.20 for high-income households. In 2025 the government is considering two equally-sized fiscal packages: (i) a targeted income-support programme for low-income households, or (ii) an income-tax cut for high earners.

(a) The difference between the two multipliers most clearly illustrates: **(1)**

☐ **A** the Lucas critique of macroeconomic models
☐ **B** the importance of marginal propensity to consume in determining fiscal impact
☐ **C** the crowding-out effect of public borrowing
☐ **D** Ricardian equivalence

(b) Calculate the approximate fiscal multiplier for each package, assuming a simple closed-economy Keynesian framework with a marginal tax rate of 30%. Show your working. **(4)**

(Total for Question 3 = 5 marks)

4 In 2025 the pound sterling depreciated by 8% on a trade-weighted basis. UK imports are estimated to have a pass-through coefficient of 0.55, meaning that 55% of the depreciation is passed through to domestic import prices within twelve months.

(a) Calculate the likely first-year impact of the depreciation on the UK CPI, assuming imports account for 28% of the CPI basket. Show your working. **(4)**

(b) A higher pass-through coefficient is most likely associated with: **(1)**

☐ **A** a market in which importers have substantial pricing-to-market power
☐ **B** a market in which most imports are invoiced in the importing country's own currency
☐ **C** a market with extensive import substitution and competitive domestic producers
☐ **D** a market with low substitutability between imported and domestically produced goods

(Total for Question 4 = 5 marks)

5 Some economists describe the advanced economies as being in a period of 'secular stagnation': persistently weak demand, low inflation and negative real interest rates even at full employment.

(a) A policy most likely to counteract secular stagnation is: **(1)**

☐ **A** a persistent tightening of monetary policy
☐ **B** a sustained rise in public investment funded by borrowing
☐ **C** contractionary fiscal consolidation
☐ **D** a lower inflation target for the central bank

(b) Explain one reason why a savings glut in emerging economies could contribute to secular stagnation in advanced economies. **(4)**

(Total for Question 5 = 5 marks)

TOTAL FOR SECTION A = 25 MARKS

SECTION B

Read Figures 1 and 2 and Extracts A, B and C before answering Question 6.

Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

6 Japan: two decades of stagnation and the policy response

Figure 1: Japan real GDP growth and CPI inflation (%), selected years

Year	Real GDP growth (% YoY)	CPI inflation (% YoY)	Policy rate (%)
1990	4.9	3.1	6.00
1995	2.7	−0.1	0.50
2000	2.8	−0.7	0.25
2005	1.8	−0.3	0.00
2010	4.1	−0.7	0.10
2015	1.6	0.8	0.10
2020	−4.2	0.0	−0.10
2024	1.1	2.7	0.25

Source: adapted from https://www.boj.or.jp/en/statistics/

Figure 2: Bank of Japan balance sheet and 10-year JGB yield, 2012–2024

Year	BoJ balance sheet (% of GDP)	10-year JGB yield (%, end-year)
2012	29	0.79
2015	73	0.26
2018	99	0.00
2021	127	0.07
2024	123	1.05

Source: adapted from https://www.boj.or.jp/en/statistics/boj/fm/index.htm/

Extract A — The lost decades

After the collapse of its asset-price bubble in 1990 Japan experienced two decades of near-zero nominal growth, persistent mild deflation, and a steady rise in the public-debt-to-GDP ratio to over 250%. A large overhang of non-performing bank loans was only slowly recognised; corporate investment remained weak even as real interest rates turned negative; and households maintained high precautionary savings against a backdrop of a shrinking and ageing workforce. Economists disagree on the weight attaching to demand-side factors (deficient AD after the bubble burst) versus supply-side factors (demographics, productivity slowdown, balance-sheet effects).

Source: adapted from https://www.imf.org/en/Publications/WEO/japan-case-study

Extract B — QE, QQE and yield-curve control

From 2001 the Bank of Japan pioneered quantitative easing (QE); from 2013 it launched 'Quantitative and Qualitative Monetary Easing' (QQE), doubling the monetary base. In 2016 it introduced yield-curve control (YCC), capping the 10-year Japanese government bond (JGB) yield at around 0%. The BoJ's balance sheet expanded to over 125% of GDP by 2021 — the largest such ratio among G7 central banks. Critics argued that YCC distorted bond markets and created a 'fiscal dominance' risk; the BoJ began to loosen the cap from 2022 and ended YCC in 2024.

Source: adapted from https://www.boj.or.jp/en/mopo/outline/index.htm/

Extract C — Abenomics: 'three arrows'

Announced by Prime Minister Shinzo Abe in 2012, 'Abenomics' combined aggressive monetary easing (first arrow), flexible fiscal policy (second arrow) and structural reforms (third arrow). The first two arrows were implemented forcefully; the third — covering labour-market reform, corporate-governance change and female workforce participation — was implemented more slowly. Output growth and inflation rose modestly over the 2013–2019 period, but the 2% inflation target was only consistently met from 2023 onwards, after a combination of imported energy-price effects and higher wage settlements.

Source: adapted from https://www.oecd.org/japan/economic-survey-japan.htm

(a) With reference to Figure 1 and Extract A, explain one likely reason why Japanese GDP growth and inflation remained close to zero for the two decades after 1992. **(5)**

(b) Examine why conventional monetary policy may be ineffective in a liquidity trap. **(8)**

(c) Assess the extent to which Japan's prolonged stagnation was driven by demand-side rather than supply-side factors. **(10)**

(d) With reference to Figure 2 and Extract B, discuss the possible effects of quantitative easing and yield-curve control on the Japanese macroeconomy. **(12)**

(e) Evaluate the likely effectiveness of Abenomics-style structural reforms in restoring long-run growth in an advanced economy of your choice. Refer to Extract C and your own knowledge. **(15)**

(Total for Question 6 = 50 marks)

TOTAL FOR SECTION B = 50 MARKS

SECTION C

Answer ONE question from this section.

You are advised to spend 30 minutes on this section.

EITHER

7 Proponents of Modern Monetary Theory (MMT) argue that a government that issues debt in its own currency faces no hard financial constraint on deficit spending; the only binding constraint is inflation.

Evaluate the MMT argument with reference to UK macroeconomic policy. Refer to relevant economic theory and real-world examples in your answer.

(25 marks)

OR

8 'Central-bank independence has outlived its usefulness: in an era of large fiscal deficits and supply-side shocks, monetary and fiscal policy should be formally coordinated.'

To what extent do you agree with this statement? Refer to relevant economic theory and real-world examples in your answer.

(25 marks)

Indicate which question you are answering by marking a cross in the box below.

Chosen question number: Question 7 ☐ Question 8 ☐

(Total for Section C = 25 marks)

TOTAL FOR PAPER = 100 MARKS